Republican budget for 2027–2029

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Speech by Mr Yerulan Zhamaubayev, First Deputy Governor of the National Bank of Kazakhstan, at the Plenary Session of the Kurultai of the Republic of Kazakhstan regarding the draft law "Republican budget for 2027–2029", Astana, 14 October 2026.

Dear Aibek Arkabayuly!
Distinguished Deputies!

Currently, the global economy is evolving amid heightened uncertainty, geopolitical tensions and shifts in trade policy.

According to IMF forecasts, global economic growth is projected at 3.1% this year and 3.4% next year.

Global inflation is expected to reach 4.7% in 2026 and 4.1% in 2027.

Despite external challenges, the national economy undergoes dynamic development. GDP grew by 4.2% over the first nine months of this year.

Annual inflation made 9.3%, marking a slowdown for the twelfth month in a row. Prices rose by 8.5% for food products, by 11% for non-food goods, and by 8.9% for paid services.

This deceleration is driven by the ongoing monetary policy, improvement of the tenge exchange rate, measures of the National Bank to reduce excess liquidity, and implementation of a complex of anti-inflationary measures in tandem with the Government.

In this connection, on 4 September we cut the base rate down to 16.25%.

Along with that, risks to price stability persist. Therefore, we will continue our comprehensive efforts toward sustainable reduction of the inflation and development of the

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Through the MRR mechanism, 4.3 trillion KZT in liquidity has been absorbed.

SECOND. We will continue to "mirror" our gold purchasing operations. Specifically, when gold is purchased from enterprises, an excess money supply enters circulation. To prevent this from fueling the inflation, the resulting excess liquidity is withdrawn through the sale of foreign currency. In the first nine months of this year alone, 3.2 trillion KZT was withdrawn, and an additional 900 billion KZT is to be withdrawn by the end of the year.

THIRD. Regulation of consumer lending. As a result of the adopted macro- and microprudential measures, the consumer credit market is normalizing and moving toward a trajectory of balanced growth. The more consumer loans banks issue to individuals, the more capital they must hold. This mechanism is known as a countercyclical capital buffer. As of 1 September, capital buffer accumulated by banks exceeded 550 billion KZT.

FOURTH. To shift the focus of second-tier banks away from consumer lending and toward business lending, a differentiated tax regime for bank income was introduced this year: corporate income tax rate is 25% on earnings from retail lending, compared to 20% on earnings from business lending. This, coupled with other measures, encourages banks to increase lending to the real sector of the economy. As a result of these measures, the retail loan portfolio grew by 11.6% year-on-year, while the business loan portfolio expanded by 14.2%.

FIFTH. The financial sector continues to demonstrate a high pace of digitalization. In July, a national Interbank mobile payment system featuring a unified QR-code service was launched. In this short period, about 45 million transactions for over 875 billion KZT have been processed through the system.

Use of the digital KZT in public finance continues to expand, with more than 350 billion digital KZT issued within various projects.

Through the National Anti-Fraud Center, over 215,000 instances of fraud and other illicit transactions exceeding 126 billion KZT have been identified.

Comprehensive regulation for circulation of digital assets in Kazakhstan has recently been introduced, and the relevant law has been enacted. Furthermore, subject to a decree of

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A digital platform for issue and servicing of digital financial assets has been launched at the facilities of the Kazakhstan Stock Exchange. There are four licensed crypto-service providers in operation.

The National Bank has established a National Crypto Reserve with a volume of USD 700 million, where nearly USD 200 million have already been invested.

* * *

Distinguished Deputies!

Key objective of the monetary policy is to ensure price stability.

The declining inflation is indicative of effectiveness of our collective measures. Nevertheless, certain risks remain. Therefore, it is essential to ensure effective implementation of the joint program developed by the Government, the National Bank, and the Agency for Regulation and Development of the Financial Market which is designed for macroeconomic stabilization and improvement of the well-being of the population, as well as a complex of anti-inflationary measures.

This creates necessary conditions for sustainable economic growth, recovery of the investment activity, and an improvement in the population's welfare.

Thank you for your attention!

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Yerulan Zhamaubayev
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